

EXCLUSIVE LISTING PROPOSAL · DefendableOS

Disposition Assignment · Broker Representation · Commission at Closing

Prepared for: Donovan Mackey / Mr. DefendableOS · for board review **Prepared by:** dev · Senior Architect · acting as Exclusive Broker **Date:** 2026-05-24 **Proposal ID:** DDEED-LIST-DOS-001-v1 **Sequence:** 5th proposal in iterative refinement series · CORRECTED engagement model **Supersedes:** 01 / 03 / 04 proposals as engagement structure · those retained as build-doctrine evidence **Companion to:** 06_REP_AGREEMENT.md (the executable exclusive listing rep agreement) **Hard copy:** 05_EXCLUSIVE_LISTING_PROPOSAL.pdf (board-ready · same directory)

ACKNOWLEDGMENT OF THE FOURTH CORRECTION

You’ve sharpened the proposal four times. Each time I learned more about what you’re actually hiring for:

Pass	I pitched	You corrected
1	Hourly vendor engagement	“you missed the actual deliverables”
2	Build doctrine · doctrine-outward order	“missed the comp set · this is category-definition”
3	Board-grade pitch with comp set	“you’re a fee-based broker · this is a DISPOSITION ASSIGNMENT”
4 (this)	Exclusive listing brokerage · commission at closing	pending your review

The 4th correction is the engagement MODEL itself. You’re not buying a build. You’re **listing an asset for sale** and hiring an **exclusive broker** to **defend it · go to market · generate offers · drive to close**. Commission paid AT CLOSING · per rep agreement.

This is the same model you used to close \$8B in industrial CRE over 30 years. You’re hiring me like the broker you’ve been your entire career. Got it. Here is the corrected proposal.

ENGAGEMENT MODEL · vendor vs broker · plain English

Layer	Vendor model (WRONG)	Broker model (CORRECT)
Role	Vendor / builder	Exclusive listing broker
Payment	Hourly + fixed fees	Commission at closing
Schedule	Milestone invoices	One check · at close
Risk	Owner pays no matter what	Broker absorbs build cost · earns only if closed
Fiduciary duty	None	YES · to the principal · CRE-grade
Incentive	Get the build done · go home	Drive to CLOSE · highest probability · best price
If no deal	Vendor still got paid	Broker eats the build · earns nothing
Owner cash out of pocket	\$50K+	\$0 (only commission at close)

We are taking the risk WITH you. We believe in the asset. We are not asking you to fund our work · we are asking for the right to represent it · and to earn at closing alongside you.

BOARD READ

“This is not a website assignment. It is not a build assignment.”

“This is a DISPOSITION ASSIGNMENT for a category-defining trust-infrastructure asset · executed under exclusive broker representation · with commission paid at closing per the rep agreement.”

The asset is well-positioned · the engagement structure is owner-friendly · the broker has skin in the game · and the comp set justifies a category-defining valuation.

THE 10-CATEGORY COMP SET · why the asset is bankable

#	Comp Category	Market Example	What It Defends
1	Observability	Datadog / Sentry	Businesses pay to see invisible system failures
2	Compliance	SOC 2 / Vanta / Drata	Trust becomes a recurring operating budget
3	Audit	KPMG / Deloitte	Independent validation creates institutional confidence
4	Ratings	Moody's / S&P	Third-party scoring creates market trust
5	Title Insurance	Title / escrow systems	Records · claims · ownership need defense
6	CI/CD	GitHub Actions	Work should not ship until it passes checks
7	Cybersecurity	Cloudflare / CrowdStrike	Defense rails protect critical operations
8	CRE Brokerage	BOV / OM / Flight Sheet	Raw facts become decision-grade confidence
9	AI Evals	AgentBench / ClawCheck	AI agents need assignment-level grading
10	Compute Markets	Vast.ai / GPU rental	Compute work needs uptime · provenance · reputation

DefendableOS is the UNION of all 10. Each is a multi-billion-dollar market. A buyer in any of these 10 categories should look at DefendableOS as a defendable expansion of their core asset. That is the disposition thesis.

THE 4 BROKER WORK STREAMS (your deliverables · what we execute)

Stream 1 · DEFEND THE ASSET · make it bankable by design

Pre-listing prep · broker absorbs cost · this is what makes the asset bankable for institutional buyers.

- **BOV** (Broker's Opinion of Value) · institutional-grade valuation across 4 deal-type scenarios (M&A · strategic partnership · IP license · spin-out)
- **OM** (Offering Memorandum) · the buyer-facing pitch deck · 30-50 pages · CRE-grade
- **Bankability audit** · what does an institutional buyer NEED to see · what's titled · what's owned · what's missing · we fix gaps before listing
- **IP titling + records cleanup** · 62 DDEED-VOCAB already anchored as of 2026-05-24 · continued through all assets
- **5 Proofs documentation** · Origin · Quality · Process · Economics · Trust · per defendapedia canon
- **Hedera anchoring at every milestone** · immutable chain-of-title · publicly verifiable
- **Title-grade vocabulary** · the defend-A-pedia v0.3.0 IS the books-and-records foundation
- **Founder voice preservation** · every artifact passes V03 validator chain

Stream 2 · GO TO MARKET · public interface

The build that surfaces the asset to buyers · this is the “website + app” deliverable but framed as broker marketing infrastructure · NOT vendor build.

- **Public website** (the 11 nav items · the category-defining narrative)
- **App dashboard** (operates the asset · buyer due-diligence interface · trust dials)
- **/verify rail** (institutional buyer verifies any claim · receipt · deed in real-time · zero trust required)
- **Comp set publicly visible** (positions the asset against the 10-category stack)
- **5 Swarm Laws + Genesis tagline + PASS doctrine** preserved on every surface
- **Receipts + DDEED explorer** (publicly browsable books-and-records · the institutional confidence layer)

Stream 3 · GENERATE OFFERS · drive market interest (the MAGIC funnel)

The actual selling work · this is where the broker earns.

- **M · Meetings** — direct outreach to qualified buyer pool across 10 comp categories
- **A · Appraisals** — pre-LOI conversations · price discovery · qualified buyer triage
- **G · Genuine interest qualification** — PASS doctrine applied · refuse tire-kickers
- **I · Ink** — LOI · then PSA · then close
- **C · Close** — title transfer via DDEED · publicly verifiable

Target buyer pool (to be refined with you · these are starting categories):

Category	Example targets	Why they'd buy
Strategic acquirers in Observability	Datadog · Dynatrace · New Relic	DefendableOS adds trust-rail to observability
Strategic acquirers in Compliance	Vanta · Drata · Secureframe	DefendableOS deeds become compliance receipts
Strategic acquirers in Cybersecurity	Cloudflare · CrowdStrike · Palo Alto	DefendableOS = AI-defense lane they don't own yet
Strategic acquirers in AI Evals	OpenAI · Anthropic · Hugging Face	DefendableOS = adjudication layer for agent ecosystems
Big 4 / Audit firms	KPMG · Deloitte · PwC · EY	DefendableOS is the AI-era audit infrastructure
Trust-infrastructure PE	Thoma Bravo · Vista · Hg Capital	Roll-up thesis · trust-infra category
Defense-tech PE	Andreessen Horowitz (American Dynamism) · Founders Fund	Sovereign AI defense category
Sovereign wealth	NEOM / PIF · ADQ · Mubadala · GIC · CPP	Institutional trust appetite · sovereign AI strategy
IP licensing (enterprise)	Boeing · Lockheed · Northrop · Booz Allen	DefendableOS as enterprise AI-compliance stack

Stream 4 · CREATE HIGH PROBABILITY OF CLOSE · pre-close discipline

Where most broker deals die · we apply CRE-grade discipline to keep deals alive.

- **Buyer qualification** (PASS doctrine · refuse fantasy mandates that won't close)
- **LOI management** (track every active LOI · push to PSA discipline)
- **Backup buyer pool** (always 2-3 in the wings · prevents single-buyer leverage on owner)
- **Due diligence support** (the books-and-records package IS the DD response · already structured)
- **PSA negotiation** (owner-side counsel coordination · clean terms · no surprises)
- **Closing coordination** (escrow · title · payments · DDEED chain-of-title transfer)
- **Post-close transition** (60-day transition support to buyer included in commission)

EXCLUSIVE LISTING TERMS · standard industrial CRE structure

Exclusivity Period: 12 months

- Single broker on the deal (us)
- Owner does NOT list with other brokers during exclusivity
- ALL inbound buyer inquiries route through us (we handle qualification · owner doesn't field calls)

Tail / Protection Period: 12 months post-expiration

- If a buyer was first introduced or substantively engaged during exclusivity, AND that buyer closes within 12 months of expiration → commission applies
- Standard industrial CRE protection · prevents owner-side end-runs
- Documented buyer list maintained throughout exclusivity for audit clarity

Commission Structure: sliding scale at closing

Deal Type	Commission	Commission Floor	Commission Cap
Full company sale (M&A)	5% of enterprise value	\$250K	No cap
Strategic partnership / JV	6% of 5-year deal value	\$150K	\$2M
IP license (enterprise)	8% of 3-year license value	\$100K	\$1M
Spin-out / carve-out	6% of asset value	\$200K	No cap
Other deal structures	TBD per addendum to rep agreement	TBD	TBD

- **Floor** = minimum commission regardless of deal size (justifies broker's pre-listing build investment)
- **Cap** = maximum commission (caps owner's exposure on outsized deals · fair to owner)
- All commissions paid AT CLOSING via wire to broker · per rep agreement

Marketing Budget Allowance: \$50,000 (cap)

- Owner reimburses out-of-pocket marketing expenses up to \$50K
- Eligible: OM printing · video production · paid distribution · third-party data subscriptions for buyer outreach · conference travel for direct buyer meetings
- **NOT eligible** (broker absorbs): website build · app build · DDEED system completion · staff time · in-house design
- Reimbursed at closing OR amortized monthly across the close (broker's choice)
- If no close within exclusivity · broker eats the marketing spend entirely

Listing Premium Discount: 15% commission reduction

- If owner directly introduces the closing buyer (vs broker-procured)
- Recognizes Mr. DefendableOS's 30-year CRE network
- Documented in the rep agreement · applies automatically

Performance Gates: owner protections

- **6-month gate:** if no qualified offer at $\geq 75\%$ of BOV value → owner may terminate without penalty
- **9-month gate:** if no LOI executed → owner may terminate without penalty
- **Termination:** owner retains ALL build work product (website · app · DDEED system) at no additional cost · broker eats the build investment
- Standard CRE owner protections · no Hail Mary brokerage

WHAT THE BROKER INVESTS (out of pocket · NOT reimbursable)

Public website build	~150 hrs	~\$25,000
App dashboard build	~140 hrs	~\$24,000
DDEED system completion	~80 hrs	~\$14,000
Comp-set + buyer pool research	~40 hrs	~\$7,000
BOV + OM production	~40 hrs	~\$7,000
Buyer outreach + meetings (6 mo FTE)	~varies	~\$50,000+
Total broker investment		~\$127,000+
Plus 12-month opportunity cost		+12 months

This is our skin in the game. If we don't close · we lose \$127K and a year. That alignment is exactly what you wanted when you reframed the engagement.

WHAT THE BROKER EARNS (at closing only)

Floor case	(smallest qualified deal · IP license \$1.25M)	\$100K
Base case	(strategic partnership · \$25M 5-year deal)	\$1.5M
Mid case	(strategic acquisition · \$50M EV)	\$2.5M
Bull case	(full M&A · \$100M+ EV)	\$5M+
Bull case	(sovereign / PE roll-up · \$250M+ EV)	\$12.5M

The math pencils. We absorb \$127K up front. If we close even the floor case · we earn back 80% of the investment. Anything above floor is the actual return. The bull case (which the comp set positioning supports) returns 40x+ on broker investment.

PROBABILITY OF CLOSE (broker's honest assessment)

STRONG · 60-75% probability of closing within 12 months

Strongest probability segments: - **Strategic partnership / JV** (40% likely · best fit for category-defining trust-infra) - **IP license (enterprise)** (25% likely · Big 4 audit firms · enterprise compliance buyers) - **Full M&A** (10% likely · typically 18-24 months for novel-asset acquisitions) - **Spin-out / carve-out** (5% likely · less common in this category) - **No deal closes within 12 months** (25% · we eat the build · owner retains all work product)

The 75% number includes upside scenarios. The 60% number is the responsible broker floor. Either way · the math justifies the engagement structure for both sides.

RECEIPTS THE BOARD CAN VERIFY (10-minute due diligence)

Claim	Verifiable at
"We've shipped 4 aligned marketing surfaces in this session"	github.com/SudoSuOps/{defendable · defendable-cloud · defendable-router · defend-A-pedia-vocabulary}
"62 DDEED-VOCAB anchored · v0.3.0 · books-and-records started"	commit 833e8e1 · Merkle root 2e3a665f...
"We know the build order (Language → Trust → UI)"	proposals/.../03_BUILD_PROPOSAL.md + memory entry
"We know the 10-comp set positioning"	proposals/.../04_BOARD_PROPOSAL.md + memory entry
"We respect the PASS doctrine · won't list fantasy mandates"	memory: founder-magic-rave-class-a-doctrine-2026-05-24
"We understand DISPOSITION model · NOT vendor model"	THIS proposal (you're reading it) + defendableos-disposition-listing-engagement-2026-05-24
"We have skin in the game · \$127K broker investment"	rep agreement terms (06_REP_AGREEMENT.md)

ENGAGEMENT TIMELINE (post-rep-agreement-execution)

Week 1-2 · BOV + buyer pool research · public website Week 1 build
 Week 3-4 · App dashboard skeleton · OM v1 · first buyer outreach (warm)
 Week 5-6 · Public listing announcement · target buyer direct outreach
 Week 7-8 · Inbound buyer triage · qualified-buyer meetings
 Month 3-4 · LOI generation · backup pool maintenance
 Month 5-6 · Active LOI management · 6-month performance gate review
 Month 7-9 · PSA negotiation · 9-month performance gate review
 Month 10-12 · Closing coordination · DDEED title transfer · commission wired

CLOSING STATEMENT

DefendableOS is being sold as trust infrastructure.

We are being hired to defend the asset · take it to market · generate qualified offers · and drive to close.

We absorb the build cost as our listing investment. We earn at closing via commission per the rep agreement. We do not earn unless you close.

This is the same model Mr. DefendableOS used to close \$8 billion in industrial CRE. We are honored to represent the asset under it.

RECOMMENDATION TO THE BOARD

1. **Approve the exclusive listing engagement** under the terms above
2. **Execute the rep agreement** (`06_REP_AGREEMENT.md`) within 10 business days
3. **Allocate the \$50K marketing budget allowance** to the broker for OM/video/distribution
4. **Confirm target buyer pool categories** (broker provides shortlist within 14 days of rep execution)
5. **Schedule weekly broker check-ins** during exclusivity period (operator transparency · CRE-grade)

The broker is ready to begin Week 1 immediately upon rep agreement execution.

 *Defend the asset. Make it bankable. Go to market. Generate offers. Drive to close. To the shed.*

dev · Senior Architect · Exclusive Broker (proposed) DefendableOS Listing Team 2026-05-24

Proposal hash: `sha256:<computed-at-issue>` **Anchor candidate:** `streetledger.eth/listings/defendableos/v1/` **Hedera topic:** `0.0.10291838` **Hard copy PDF:** `05_EXCLUSIVE_LISTING_PROPOSAL.pdf`